

Paradiem 

The Morning Brief

JUNE 12, 2026

Strikes Pulled

Trump cancels Iran strikes; semis lead a 3.4% Nasdaq rally despite a hot May PPI print.

S&P 500	NASDAQ	WTI (USO)	MAY PPI	FEAR & GREED
\$737.76 · ↑1.70%	\$717.12 · ↑3.38%	\$128.83 · ↓4.07%	1.1% MoM · 6.5% YoY per BLS	12 (Crypto fallback) · CNN equity gauge per workflow note

SECTION 01

Markets

THURSDAY DELIVERED A SHARP RISK-ON REVERSAL OF WEDNESDAY'S DRAWDOWN WITH THE NASDAQ PROXY ↑3.38% TO \$717.12, THE S&P 500 PROXY ↑1.70% TO \$737.76, THE DOW PROXY ↑1.82% TO \$509.36, AND THE RUSSELL 2K PROXY ↑2.96% TO \$290.41 PER THE DATA DROP — THE BID WAS DRIVEN BY PRESIDENT TRUMP'S CANCELLATION OF PLANNED THURSDAY-EVENING STRIKES ON IRAN AND HIS FRAMING OF A "GREAT SETTLEMENT" CLOSE TO SIGNING PER MULTIPLE OUTLETS, EVEN AS THE BLS RELEASED A MATERIALLY HOT MAY PPI PRINT AT 1.1% MONTH-OVER-MONTH (VS THE 0.7% DOW JONES CONSENSUS PER CNBC) AND 6.5% YEAR-OVER-YEAR (THE LARGEST 12-MONTH RISE SINCE NOVEMBER 2022 PER THE BLS RELEASE)

Sector participation inverted Wednesday's defensive tape: Tech (XLK ↑3.73%) led the green tally alongside Materials (XLB ↑3.27%), Industrials (XLI ↑3.24%), Discretionary (XLY ↑2.48%), and Comm Services (XLC ↑1.00%) per the data drop, while Energy (XLE ↓1.94%) and Staples (XLP ↓0.26%) carried the red as the de-escalation framing drained the geopolitical premium from oil and unwound Wednesday's defensive rotation. UVXY (VIX proxy) ↓7.39% to \$30.81 compressed implied vol meaningfully and TLT ↑1.30% to \$85.98 picked up a measured bid even into the hot PPI print, signaling the market read the producer-side acceleration as energy-pass-through rather than a broad services-side inflation shift. Per the BLS release, gasoline prices rose 23.4% at the wholesale level and accounted for roughly 80% of the headline goods advance, framing the print as principally a flow-through of the Iran-conflict oil complex now expected to compress with the Trump-described settlement track.

THE SEMICONDUCTOR SLEEVE DELIVERED ONE OF THE STRONGEST SINGLE-SESSION ADVANCES OF THE CYCLE, FULLY REVERSING WEDNESDAY'S COMPRESSION WITH LRCX ↑12.65% TO \$362.52, CRDO ↑11.39% TO \$264.76, MRVL ↑11.13% TO \$280.71 ON THE COMPANY'S NEW CFO APPOINTMENT OF DAN DURN PER YAHOO COVERAGE, AMD ↑7.97% TO \$488.45, QCOM ↑6.15% TO \$202.96, NXPI ↑5.95% TO \$302.55, KEYS ↑4.95% TO \$340.03, ADI ↑4.96% TO \$412.13, TSM ↑3.01% TO \$421.07, AND NVDA ↑2.22% TO \$204.87 PER THE DATA DROP

The pattern frames the prior session's drawdown as a positioning unwind rather than a thesis re-rating, with the sleeve recovering essentially all of Wednesday's decline in a

single session. Per ChartMill and Benzinga coverage, the LRCX rally drew incremental flow on the broader semi-cap-equipment bid alongside the SpaceX IPO pricing catalyst surfacing across the AI-infrastructure complex; CRDO held idiosyncratic leadership for the third consecutive session per the data drop. Within FCI's growth sleeve, the cohort breadth was wide: FTNT ↑4.45%, HOOD ↑6.80%, SYF ↑3.98%, FCX ↑6.86%, STLD ↑4.18%, TOL ↑5.98%, VST ↑5.66%, and TEL ↑2.84% on the Zacks upgrade to Buy per Yahoo coverage. Within dividend, CAT ↑4.84% to \$897.63 recovered the bulk of Wednesday's ↓6.40% drawdown, GD ↑5.22% to \$358.86

extended on the Jefferies upgrade per Fintel, LMT ↑4.51% to \$548.68 added to the defense bid, and GPC ↑3.89% per the Yahoo coverage. The energy sleeve carried the de-escalation compression: DVN ↓4.27% to \$44.61, CNX ↓3.28%, CVX ↓2.10%, OKE ↓1.51%, VLO ↓0.93% per the data drop.

S&P 500 (THU)	\$737.76 · ↑1.70% · H:\$740.00
NASDAQ (THU)	\$717.12 · ↑3.38% · H:\$718.37
RUSSELL 2K (THU)	\$290.41 · ↑2.96%
UVXY (VIX PROXY)	\$30.81 · ↓7.39%
LRCX · CRDO · MRVL	↑12.65% · ↑11.39% · ↑11.13%
AMD · QCOM · NVDA	↑7.97% · ↑6.15% · ↑2.22%
XLK · XLB · XLI	↑3.73% · ↑3.27% · ↑3.24%
XLE (ENERGY)	\$57.12 · ↓1.94% · only meaningful red
GOLD (GLD) · SILVER (SLV)	\$386.32 ↑3.13% · \$60.82 ↑5.48%
WTI · BRENT (THU)	\$128.83 ↓4.07% · \$49.13 ↓4.53%
MAY PPI	1.1% MoM · 6.5% YoY per BLS

ADOBE REPORTED Q2 FISCAL 2026 AFTER THURSDAY'S CLOSE WITH RECORD REVENUE OF \$6.62B (↑13% YOY) ABOVE THE \$6.45B CONSENSUS PER ALPHASTREET AND NON-GAAP EPS OF \$5.96 AGAINST THE \$5.94 ESTIMATE PER

ALPHASTREET, WITH AI-FIRST ARR TRIPLING YOY AND EXCEEDING \$500M PER THE COMPANY'S RELEASE — SHARES FELL APPROXIMATELY 5% IN THE AFTER-HOURS PER STOCKTWITS AS A CFO DEPARTURE ANNOUNCEMENT ECLIPSED THE BEAT AND THE RAISED FY26 GUIDE TO \$26.5–\$26.6B REVENUE AND \$24.35–\$24.45 NON-GAAP EPS

Per Stocktwits and Yahoo coverage, the CFO departure framing weighed disproportionately against the operational strength of the print; per the company's release, the AI-first ARR step-up represents the most concrete disclosure-level evidence to date that generative-AI features are expanding rather than displacing creative-software demand. Combined with Oracle's Wednesday-night print (record \$19.2B revenue per the company's release, with shares paring sharply Thursday into the broader risk-on tape per Gurufocus coverage), the two prints frame the AI-cloud and AI-software complex as structurally expanding even as the multiple framework absorbs capex intensity and management-transition compression. For FCI's growth and supplier sleeves (LRCX, CRDO, KEYS, MRVL, NXPI, AMD, QCOM, FTNT), Thursday's sleeve-wide rally consolidated the AI-backbone exposure into one of the strongest single-session moves of the cycle per the data drop.

A sharp de-escalation-driven recovery erased Wednesday's drawdown and reasserted the AI-infrastructure backbone as the dominant equity story; the cash-flow durable sleeves continue to compound through whichever way the geopolitical and macro variables resolve. Research Reveals Opportunities.

Geopolitics

PRESIDENT TRUMP CANCELLED PLANNED THURSDAY-EVENING U.S. STRIKES ON IRAN AND TOLD REPORTERS IN THE OVAL OFFICE THAT THE TWO SIDES HAD “MADE A GREAT SETTLEMENT” SUBJECT TO FINALIZATION OF DOCUMENTS PER CNBC AND RFE/RL COVERAGE, WITH THE PRESIDENT SEPARATELY INDICATING SIGNING COULD OCCUR AS EARLY AS THIS WEEKEND IN EUROPE PER ABC NEWS — THE FRAMEWORK REPORTEDLY EXTENDS A 60-DAY CEASEFIRE DURING WHICH THE STRAIT OF HORMUZ WOULD REOPEN WITHOUT TOLLS, IRAN WOULD CLEAR DEPLOYED MINES AND BE PERMITTED TO SELL OIL FREELY UNDER A U.S. SANCTIONS-WAIVER FRAMEWORK, AND BOTH SIDES WOULD OPEN A NEGOTIATION TRACK ON THE NUCLEAR PROGRAM PER AXIOS COVERAGE

Per Reuters Thursday, Iran’s Foreign Ministry stated via IRNA that Tehran had not reached a final decision on the framework even as the U.S. military posture stood down. The dated oil tape priced the de-escalation in a single session: USO ↓4.07% to \$128.83 and BNO ↓4.53% to \$49.13 per the data drop, with the FCI energy sleeve carrying the compression — DVN ↓4.27% to \$44.61, CNX ↓3.28% to \$32.11, CVX ↓2.10% to \$185.82, OKE ↓1.51% to \$89.20, VLO ↓0.93% to \$255.60. Defense moved counterintuitively higher on the cease-framing day: GD ↑5.22% to \$358.86 on the Jefferies upgrade per Fintel, LMT ↑4.51% to \$548.68 per the data drop — per Yahoo coverage Thursday, market chatter cited Lockheed’s commentary that Patriot missile delivery timelines remain uncertain for U.S. allies, framing the structural backlog thesis as durable regardless of the near-term diplomatic resolution. For FCI’s position-symmetric framework Carson anchored across the prior briefs, the resolution path remains operative without requiring a single geopolitical variable to resolve. **The physical world matters.**

GOLD (GLD ↑3.13% TO \$386.32) AND SILVER (SLV ↑5.48% TO \$60.82) BOTH REVERSED WEDNESDAY’S COMPRESSION SHARPLY EVEN AS THE DE-ESCALATION FRAMING WOULD ARGUE FOR A FLIGHT-OUT-OF-METALS PATTERN — THE MOVE IS CONSISTENT WITH THE FED-RATE-PATH CONVERSATION RE-SOFTENING AS TLT ↑1.30% TO \$85.98 PRICED THE PEACE-PRINT COMBINATION AND THE HEADLINE HEAT FROM THE PPI READ AS PRIMARILY ENERGY-DRIVEN AND THEREFORE SUBJECT TO REVERSAL IF THE OIL COMPLEX COMPRESSES INTO THE FRAMEWORK SIGNING

Per Reuters and Yahoo coverage Thursday, gold opened at the lowest level since November 2025 before extending the day’s rebound as cross-asset positioning shifted; the FCI metals-adjacent exposure participated in the reversal with AEM ↑3.46% to \$157.76 per the data drop after the Wednesday compression. FCX ↑6.86% to \$66.34 led the materials sleeve on the broader cyclical bid as XLB ↑3.27% per the data drop. The digital-asset complex extended the structural-integration thesis: IBIT ↑2.77% to \$36.05 and ETHA ↑3.42% to \$12.70 per the data drop, with the SeekingAlpha framing that the authorized-participant arbitrage mechanism that compressed

flows across prior weeks may now reverse providing the structural read for the next move-window. Per Benzinga coverage, the SpaceX IPO today (priced Thursday night at \$135 per share per CNBC and Yahoo coverage at an approximately \$1.77T post-money valuation per multiple outlets) could divert incremental retail flow temporarily from the crypto-ETF complex.

TRUMP (THU)	Cancelled strikes · “Great Settlement” per CNBC
FRAMEWORK	60-day ceasefire · Hormuz reopen · oil waivers per Axios
IRAN POSTURE	No final decision per IRNA/Reuters
SIGNING WINDOW	As early as weekend in Europe per ABC News
WTI · BRENT (THU)	\$128.83 ↓4.07% · \$49.13 ↓4.53%
DVN · CVX · OKE	↓4.27% · ↓2.10% · ↓1.51%
GD · LMT (THU)	\$358.86 ↑5.22% · \$548.68 ↑4.51%
GOLD · SILVER (THU)	\$386.32 ↑3.13% · \$60.82 ↑5.48%

On Our Radar

1. SpaceX begins trading today on the Nasdaq under SPCX after pricing Thursday night at a fixed \$135 per share per CNBC and Yahoo coverage, raising approximately \$75B at a post-money valuation near \$1.77T per multiple outlets — this would mark the largest IPO on record, dwarfing the prior Saudi Aramco standard set in 2019. Per Benzinga and ChartMill coverage, the offering carries the unusual structure of a take-it-or-leave-it fixed price rather than a demand-driven range. For FCI's AI-infrastructure-adjacent exposure (CRDO, KEYS, MRVL, NVDA, FTNT) and the digital-asset sleeve (IBIT, ETHA), the offering frames a one-day liquidity-shift dynamic worth monitoring; per SeekingAlpha framing the CRDO read-through to the broader AI-build-out cohort remains constructive. *Research Reveals Opportunities.*

2. Adobe's after-hours print Thursday delivered record Q2 fiscal 2026 revenue of \$6.62B (↑13% YoY) above the \$6.45B consensus per Alphastreet with non-GAAP EPS of \$5.96 vs \$5.94 estimate per Alphastreet, AI-first ARR tripling YoY and exceeding \$500M per the company's release, and a raised FY26 guide to \$26.5–\$26.6B revenue and \$24.35–\$24.45 EPS — shares nonetheless fell approximately 5% in the after-hours per Stocktwits as the CFO departure announcement eclipsed the operational beat. Combined with Oracle's record Wednesday-night print, the cohort frames the AI software and cloud disclosure backbone as structurally strengthening even as multiple compression on management-transition and capex-intensity headlines drives near-term tape volatility. For FCI's growth and supplier sleeves, the read-through remains constructive on the structural backbone but tactically variable into the FOMC window. *Think Like an Owner.*

3. May PPI released Thursday at 1.1% month-over-month (vs 0.7% Dow Jones consensus per CNBC) and 6.5% year-over-year (the largest 12-month rise since November 2022 per the BLS release) — per the BLS, gasoline prices rose 23.4% at the wholesale level and accounted for roughly 80% of the headline goods advance, framing the print as principally a flow-through of the Iran-conflict oil complex rather than a broad services-side inflation shift. Per the BLS release, the stage-1 intermediate demand index ↑3.2% marked the largest increase since the series began in December 2009, an idiosyncratic mid-stream signal worth monitoring. The market priced the print as energy-pass-through subject to compression if the Trump-described Iran settlement holds: TLT ↑1.30% to \$85.98 per the data drop suggested rates priced the print without hardening the cut path. The June 16–17 FOMC remains the binding macro variable per the Federal Reserve’s published calendar. *Avoid Erosion.*

4. The Thursday semiconductor rally — LRCX ↑12.65% to \$362.52, CRDO ↑11.39% to \$264.76, MRVL ↑11.13% to \$280.71 on the Dan Durn CFO appointment per Yahoo, AMD ↑7.97% to \$488.45, QCOM ↑6.15% to \$202.96, NXPI ↑5.95% to \$302.55, ADI ↑4.96% to \$412.13, KEYS ↑4.95% to \$340.03, TSM ↑3.01%, and NVDA ↑2.22% per the data drop — recovered essentially the entirety of Wednesday’s drawdown in a single session, framing Wednesday’s compression as a positioning unwind rather than a thesis re-rating. Per ChartMill coverage, the sleeve drew incremental flow on the SpaceX IPO pricing dynamic and the broader risk-on tape; per SeekingAlpha framing, CRDO’s memory-arbitrage positioning carries upgraded read-through across the AI-build-out cohort. The cohort’s reversibility within 48 hours frames the broader chip complex as positioning-sensitive rather than fundamentally distressed. *Research Reveals Opportunities.*

5. The FCI energy sleeve carried the de-escalation compression Thursday: DVN ↓4.27% to \$44.61 per the data drop after the prior session’s ↑5.74% rally on the 70% shareholder-return framework, CNX ↓3.28% to \$32.11, CVX ↓2.10% to \$185.82, OKE ↓1.51% to \$89.20, and VLO ↓0.93% to \$255.60 — the move erased the prior session’s conflict-cadence bid in line with the ↓4% range across WTI and Brent. The sleeve’s position-symmetric framework remains operative: the holdings retain durable cash-flow exposure to either a sustained-disruption scenario (residual conflict cadence supporting the structural premium) or a settlement-driven normalization (operating leverage to a normalized export environment for the upstream complex). Per the data drop’s holdings news, VLO

continues to surface in the broader refining-margin story per Yahoo coverage. *Think Like an Owner.*

6. Carson’s active SPY \$645.80 support remains untouched per the data drop — Thursday’s S&P 500 proxy intraday low printed at \$724.40 against the \$737.76 close, leaving Carson’s level approximately 10.9% below Thursday’s deepest print, essentially unchanged from Wednesday’s ~11.0% gap as the intraday low was modestly shallower despite the broader index recovery. The framework remains the committee’s reference for a sustained retracement scenario rather than an actionable near-term marker. Per the data drop’s sentiment line, the Fear & Greed reading at 12 (Extreme Fear) reflects the CNN endpoint fallback to the crypto gauge per the workflow note rather than CNN’s stock-market gauge directly. Today’s SpaceX IPO opening price action and any incremental signing-window detail on the Iran framework over the weekend frame the binding near-term variables; the June 16–17 FOMC meeting remains the dominant macro anchor per the Federal Reserve’s published calendar with markets pricing a near-certain hold per CME FedWatch coverage. *The physical world matters.*